

26STCV08892 26STCV08892

County: los-angeles

Division: Civil Law and Motion

Department: 730

Hearing date: 2026-07-14

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Case Number: 26STCV08892 Hearing Date: July 14, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

JOANNA

ALCOCER, an individual,

Plaintiff(s),

vs.

MERCEDES-BENZ

USA, LLC, et al.,

Defendant(s).

Case No.:

26STCV08892

Hearing

Date:

July 14,

2026

[TENTATIVE]

ORDER RE:

MOTION TO COMPEL BINDING ARBITRATION AND MOTION TO
STAY ACTION

I. BACKGROUND

On March 19, 2026, Plaintiff Joana Alcocer ("Plaintiff") filed this lemon law action against Defendants Mercedes-Benz USA, LLC ("MBUSA"), and Does 1 through 10, inclusive, alleging that her leased 2023 Mercedes-Benz GLC 300W was a new vehicle motor vehicle within the meaning of the Song Beverly Consumer Warranty Act, and MBUSA was unable to repair the vehicle's defects during the warranty period despite reasonable opportunities to do so.

The Complaint asserts causes of action for: (1) violation of subdivision (d) of Civil Code section 1793.2; (2) violation of subdivision (b) of Civil Code section 1793.2; (3) violation of subdivision (a)(3) of Civil Code section 1793.2; and (4) breach of the implied warranty of merchantability.

On May 7, 2026, MBUSA filed the instant motion to compel Plaintiff's claims to arbitration. On June 30, 2026, Plaintiff filed her opposition to the motion. On July 7, 2026, MBUSA filed its reply.

II. LEGAL STANDARD

"[A] court generally must compel arbitration in accordance with the agreement when requested by one of the parties. (Code Civ. Proc., § 1281.2; 9 U.S.C. § 2.)" (Ibid.) Under the FAA, "a written agreement to arbitrate 'shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract' (9 U.S.C. § 2.) Unless an exception applies, if the matter is arbitrable, the court 'shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement' (9 U.S.C. § 3.)" (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1128 (Ford Motor Warranty Cases) [footnote removed].)

“ ‘[I]n ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute. [Citations.] General principles of California contract law guide the court in making this determination.’ [Citation.] ‘The party seeking arbitration bears the burden of proving the existence of an arbitration agreement’ [Citation.]” (Ford Motor Warranty Cases, supra, 17 Cal.5th at p. 1128.)

“The moving party ‘can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’ [Citation.] Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. [Citations.] For this step, ‘it is not necessary to follow the normal procedures of document authentication.’ [Citation.]” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165 (Gamboa).)

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (Gamboa, supra, 72 Cal.App.5th at p. 165.) “The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

“The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination.” (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 842.)

III. DISCUSSION

MBUSA moves to compel Plaintiff to arbitrate her claims pursuant to the arbitration agreement in the Lease Agreement of her vehicle. In her opposition, Plaintiff does not dispute MBUSA’s contentions that it is a third-party beneficiary under the arbitration agreement, and the FAA governs the agreement. Plaintiff only argues that the scope of the arbitration agreement does not cover her claims in this action.

“The FAA reflects a policy favoring arbitration, requiring that agreements to arbitrate be enforced in the same manner as any other contract.” (Ford Motor Warranty Cases, *supra*, 17 Cal.5th at p. 1128; but see *Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 418 [“The policy is to make ‘arbitration agreements as enforceable as other contracts, but not more so.’ [Citation.] Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind. But a court may not devise novel rules to favor arbitration over litigation. [Citation.] If an ordinary procedural rule—whether of waiver or forfeiture or what-have-you—would counsel against enforcement of an arbitration contract, then so be it. The federal policy is about treating arbitration contracts like all others, not about fostering arbitration”].)

“[S]tate contract rules generally govern the construction of arbitration agreements [governed by the FAA].” (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 384.)

Under California law, “[t]he fundamental goal of contractual interpretation is to give effect to the mutual intention of the parties at the time of contract formation. (Civ. Code, § 1636.) ‘We ascertain that intention solely from the written contract if possible, but also consider the circumstances under which the contract was made and the matter to which it relates. [Citations.] We consider the contract as a whole and interpret the language in context, rather than interpret a provision in isolation. [Citation.] We interpret words in accordance with their ordinary and popular sense, unless the words are used in a technical sense or a special meaning is given to them by usage. [Citation.] If contractual language is clear and explicit and does not involve an absurdity, the plain meaning governs.’ ” (*LaCour v. Marshalls of CA, LLC* (2025) 117 Cal.App.5th 505, 521 (Lacourt).)

“When interpreting the provisions in an arbitration agreement covered by the FAA, due regard must be given to the federal policy favoring arbitration and, as a result, ambiguities as to the scope of the arbitration clause should be resolved in favor of arbitration. [Citations.]” (Lacourt, *supra*, 17 Cal.App.5th at p. 521; see also *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.* (1985) 473 U.S. 614, 627 [“it is the congressional policy manifested in the Federal Arbitration Act that requires courts liberally to construe the scope of arbitration agreements covered by that Act ...”].)

“ ‘At the same time, arbitration is a matter of consent, not coercion, and “ ‘a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit’ ” [citation]. “[W]e do not override the clear intent of the parties, or reach a result inconsistent with the plain text of the contract, simply because the policy favoring arbitration is implicated.” ’ [Citation.]” (Lacourt, supra, 17 Cal.App.5th at p. 521.)

Here, the arbitration agreement states in relevant part:

“Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.”

(Declaration of Sybil Leung, filed May 7, 2026, Exh. 1 – a copy of the Lease Agreement, p. 4, “Important Arbitration Disclosures” section, second paragraph [bold emphasis added].)

MBUSA argues that Plaintiff’s claims arise out or relate to the Lease Agreement within the meaning of the above arbitration clause for the following reasons. “The relationship between MBUSA (the vehicle’s distributor and warrantor) and Plaintiff (the lessee) would not exist without the Lease between Plaintiff and the dealership (the lessor). Plaintiff, upon receiving the vehicle under the terms of the Lease, received an express warranty from MBUSA because Plaintiff leased the vehicle. As discussed in the moving brief, Plaintiff’s claims are brought under the Song-Beverly Act, which creates statutory claims arising out of retail purchases and leases of vehicles. [Citation.] Plaintiff’s claims arise out of the relationship between Plaintiff as lessee/consumer and MBUSA as distributor/warrantor. There would be no claim for breach of warranty under the Song-Beverly Act without this

relationship, as Plaintiff's claims in the complaint allege this action arises out of MBUSA's warranty obligations, for a vehicle leased by Plaintiff, for which a written warranty was issued, and for which implied warranties arise by virtue of the Lease. In fact, Plaintiff acknowledges that both the express and implied warranties arise from the Lease: [¶] • 'When the Subject Vehicle was leased, Plaintiff received express written warranties in which Defendant undertook to preserve or maintain the utility or performance of Subject Vehicle or to provide compensation if there is a failure in utility or performance for a specified period of time.' (Compl. ¶ 11.) [¶] • '[T]he sale of Subject Vehicle was accompanied by Defendant's implied warranty' (Id. ¶ 30.) Simply put, there would be no warranties in the absence of the Lease".)

When the parties to an arbitration agreement indicate that the agreement is ambiguous by disputing its meaning but, like here, fail to present extrinsic evidence in support of their arguments, California courts "resolve the question of ambiguity based solely on the contents of their agreement." (*Duran v. EmployBridge Holding Co.* (2023) 92 Cal.App.5th 59, 66.)

Here, the Court finds that the language of the arbitration agreement does not cover Plaintiff's claims for the following reasons.

It is true, as MBUSA argues, that Ford Motor Warranty Cases involved a slightly different arbitration agreement. There, "nothing in the agreement between plaintiffs and the seller dealers expressed an intent to empower third parties to invoke the arbitration clause." (*Ford Motor Warranty Cases*, supra, 17 Cal.5th at p. 1129.) Here, the arbitration agreement clearly mentions MBUSA and defines the defendant as third party beneficiary under the agreement and contract in general.

However, Ford Motor Warranty Cases is relevant to the issue of scope.

Indeed, aside from the difference the Court has indicated above, the arbitration clause in that case was much broader than the language at issue. Specifically, the agreement stated that the contracting parties had agreed to arbitrate: "[a]ny claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation

and scope of this Arbitration Provision, and the arbitrability of the claims or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase, or condition of this vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who did not sign this contract)” (Ford Motor Warranty Cases, supra, 17 Cal.5th at p. 1127 [bold and italicized emphasis added].)

The manufacturer (Ford Motor Company) argued that the above language covered plaintiffs’ Song-Beverly Warranty Consumer Act warranty claims and fraudulent concealment claim because those “claims [were] necessarily intertwined with the sales contracts” (Ford Motor Warranty Cases, supra, 17 Cal.5th at p. 1136.)

The California Supreme Court disagreed, explaining that the “[p]laintiffs causes of action alleging warranty violations and fraud do not seek to enforce any contractual provision. As a result, they should not be estopped from pursuing their claims to court.” (Ford Motor Warranty Cases, supra, 17 Cal.5th at pp. 1130-1131; see also id. at p. 1138 [“In sum, Ford cannot compel plaintiffs to arbitrate their claims against it. Properly read, the language of the arbitration clauses agreed to by plaintiffs and the dealers does not support an agreement to arbitrate with third parties. Further, plaintiffs’ claims flow not from the contracts but from separate statutory requirements and conventional fraud theories. They are not intimately founded in and intertwined with the contractual terms”].)

Here, given the California Supreme Court’s holding in Ford Motor Warranty Cases, the Court finds that Plaintiff’s warranty claims do not “arise[] out of or relate[] to a credit application, [the] lease, or any resulting transaction or relationship arising out of [the] lease ...” within the meaning of the arbitration agreement at issue.

Therefore, the Court denies MBUSA’s motion to compel Plaintiff’s claims to arbitration.

V. CONCLUSION

The Motion to Compel Binding Arbitration and Motion to Stay Action is denied.

Plaintiff Joanna Alcocer to give notice.

DATED:

July 14, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this

tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless all parties submit by email to this

tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at

hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.